

The Oriental Insurance Company Ltd. vs Mrl Transport Private Ltd. on 2 March, 2022

BEFORE THE RAJASTHAN STATE CONSUMER DISPUTES REDRESSAL

COMMISSION, JAIPUR

FIRST APPEAL NO: 478/2021

The Oriental Insurance Company Ltd. Regd.office at A-25/27 Asaf Ali Road,
New Delhi and regional office at 9th floor, NBCC Building, Bima Bhawan,
Sahkar Marg, Jaipur through its Regional Manager.

Vs.

MRL Transport Pvt. Ltd. Registered office 128-129 Transport Nagar, Bhilwara
through Director Praveen Chaudhary

Date of Order 2.3.2022

Before:

Hon'ble Mr. Justice Banwari Lal Sharma-President
Hon'ble Mrs. Shobha Singh- Member

Hon'ble Mr. Shailendra Bhatt -Member Mr. Pratap Singh Arya learned counsel for the appellant Mr. B.L.Ahir learned counsel for the respondent BY THE STATE COMMISSION (PER HON'BLE MR. JUSTICE BANWARI LAL SHARMA, PRESIDENT):

Present appeal is preferred by the appellant opposite party insurer assailing the impugned judgment dated 21.9.2021 passed by the learned DCC Bhilwara in Complaint Case No. 181/2016 (MRL Transport Pvt. Ltd. Vs. Oriental Insurance Co.

Ltd.) whereby the learned DCC allowed the complaint of complainant respondent in following terms:

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Brief facts relevant for this appeal are that appellant complainant filed a consumer complaint before the learned DCC, Bhilwara u/s 12 of the Consumer Protection Act, 1986 stating therein that complainant's truck bearing registration no. RJ 06/GB-1387 Ashoka Leyland was insured with opposite party insurer under policy no. 242400/31/2013/14869 from 19.3.2013 to 18.3.2014. During the insurance policy i.e. on 24.5.2013 when the truck was coming from Raipur (Chhatisgarh) to Bhilwara about 2 a.m. met with accident at Khilchipur Border village Nahargarh Distt. Rajgarh M.P. for which complainant get it repaired against payment of Rs. 5,23,728/- and the information of accident was given to the insurer in writing but insurance company repudiated the claim vide letter dated 19.12.2014 on the ground that at the time of accident the driving licence of driver Babulal Meena which was shown as issued from Kota was not found correct. Accordingly, the driver was not having valid and effective driving licence at the time of accident. It is pleaded that complainant employed Babulal Meena as driver after going through his licence which was several times shown to DTO and RTO on borders and they also never reported that it is fake one. Lastly it was prayed that the repudiation of claim is deficiency in service therefore, the amount of Rs. 3,53,728/- may be awarded with interest @ 18% p.a. and for mental agony Rs. 51,000/- may also be awarded with litigation expenses of Rs. 31,000/-. Insurer in its reply denied the allegations leveled in complaint and alleged that the surveyor assessed the amount of Rs. 3,11,854.94 and the entries of driving licence of Babulal Meena was not found correct therefore, insurance company is not liable for the claim. Lastly it was prayed that complaint may be dismissed. Both parties have filed affidavits in support of their pleadings as well as documents. Thereafter after hearing the parties learned DCC partly allowed the complaint in aforesaid terms against which opposite party insurer preferred this appeal before this Commission.

Mr. Pratap Singh Arya learned counsel appearing on behalf of appellant submitted that the complaint was filed by the MRL Transport Private Ltd. which is a private limited company and the vehicle was being used for commercial purpose therefore, complainant is not a consumer. Without considering this fact learned DCC wrongly allowed the complaint. He submits that he does not dispute the finding regarding driving licence. Learned counsel for the appellant relied on Jaishree Karni Transport Co. Vs. M/s. Hari Oil Mills Pvt. Ltd. (First Appeal No. 605/2021) decided by this Commission on 24.2.2022, M/s. Recorders and Medicare System Pvt. Ltd. Vs. State Bank of Patiala & ors. (Consumer Complaint No. 154/2014) decided by Hon'ble NCDRC on 5.11.2014, M/s. Gati Limited & anr. Vs. M/s. Brbee Products Pvt. Ltd. Reported in 2015 (2) CPR 421, M/s. Suzuki Motorcycle India Pvt. Ltd. & anr. Vs. M/s. Nagana Roadlines reported in 2016 (1) CPJ 594, M/s. Alstom India T & D Ltd. & anr. Vs. M/s. Kataria Carriers (Consumer Case No. 37/ 2014) decided by

Hon'ble NCDRC on 19.8.2016, M/s. Anil & Co. Vs. Shipping Corporation of India reported in 2018 (1) CPJ 380, Birla Technologies Ltd. Vs. Neutral Glass and Allied Industried Ltd. Reported in 2011 (1) SCC 525, Action Construction Equipment Ltd. & anr. Vs. Bablu Mridha (Revision Petition No. 2079/ 2012) decided by Hon'ble NCDRC on 20.7.2012 and Bannari Amman Transport Vs. Mirinal Spinning Mills & ors. Reported in 2014 (3) CPJ 8.

Per contra Mr. B.L.Ahir learned counsel for the respondent supported the impugned judgment and submitted that respondent complainant has not purchased the insurance policy for business. The insurance policy was taken for its own use therefore, it cannot be said that respondent complainant is not a consumer.

Learned counsel for respondent complainant relied on Harsolia Motor Vs. National Insurance Co. Ltd. (1 (2005) CPJ 27 (NC) , M/s. Global Minetec Vs. ICICI Lombard General Insurance Co. (Consumer Case no. 31/2010) decided by Hon'ble NCDRC on 16.6.2021, M/s. Maruti Suzuki India Ltd. Vs. National Insurance Co. Ltd. (Consumer Case no. 266/2011) decided by Hon'ble NCDRC on 10.9.2021, Manjeet Electronics Pvt.Ltd. Vs. New India Assurance Co. Ltd. (Consumer Case No.863/2016) decided by Hon'ble NCDRC on 15.2.2022, Modi Dyeing & Bleaching Works Vs. National Insurance Co. Ltd. (Consumer Case No. 434/2016) decided by Hon'ble NCDRC on 29.10.2021, Trade Wings Logistics (India) Pvt.Ltd. Vs. MSS Asan Exports & 3 ors. (First Appeal No.1119/2014) decided by Hon'ble NCDRC on 28.1.2022, M/s. Shri Mookambiga Spinning Mills Vs. New India Assurance Co.Ltd. (First Appeal No. 679/2015) decided by Hon'ble NCDRC on 6.8.2019 and Lilavati Kirtilal Mehta Medical Trust Vs. M/s. Unique Shanti Developers & ors. (Civil Appeal No. 12322/2016) decided by Hon'ble Supreme Court on 14.11.2019.

We have considered the submissions made by the learned counsels. The only issue raised by the learned counsel for the appellant is that since respondent complainant is a Private Limited Company therefore, it cannot be treated as consumer. In this regard learned counsel for the appellant relied on Jaishree Karni Transport Co. Vs. M/s. Hari Oil Mills Pvt.Ltd. (supra) which is a simple order on admission which cannot be treated as precedent therefore, it does not help the appellant because no ratio is decided in this order.

In M/s. Recorders and Medicare System Pvt.Ltd. Vs. State Bank of Patiala & ors. (supra) the dispute was regarding service of banking service therefore, Hon'ble NCDRC held that since complainant is private limited company who used the services of bank for business purpose and company is a body corporate and not a natural person who needs to earn his livelihood therefore, it was held that company being not covered under the definition of consumer its complaint was not maintainable under the Act. In M/s. Gati Limited & anr. Vs. M/s. Brbee Products Pvt.Ltd. (supra) Hon'ble NCDRC held that complainant trading in sale of honey booked a consignment of 240 packets containing 130 kg of honey to be delivered in Chennai therefore, activity was undertaken by complainant to earn profit and it was in furtherance of said activity that service of petitioner was hired therefore, it was observed that engagement of petitioner company was a part of process of earning profit by selling honey and such engagement would be for a commercial purpose.

In M/s. Suzuki Motorcycle India Pvt.Ltd. & anr. Vs. M/s. Nagana Roadlines (supra) Hon'ble NCDRC held that complainant no. 1 is a company incorporated under Companies Act and engaged in business of manufacture and sale of motorcycle and spare parts. The goods which are the subject matter of the present complaint are part of the 26 machines were imported from Japan to 'N' Port, Maharashtra, for the machine shop of complainant no.1. Admittedly, machine damaged in the accident were meant for the machine shop of complainant no.1 for manufacturing of motorcycle and thus for the commercial activity of complainant no.1 therefore, it was held that as the goods i.e. machine brought for commercial purpose complainant is not a consumer in the eyes of law and accordingly, consumer complaint is not maintainable.

In M/s. Alstom India T & D Ltd. & anr. Vs. M/s. Kataria Carriers (supra) Hon'ble NCDRC held that-

" In view of the discussion above, it is clear that subject machinery was manufactured and sold by complainant no. 1 to M/s U.P. Power Transmission Corporation Ltd. and in furtherance of the sale transaction, it was transported through opposite party. From this it is obvious that services of opposite party for transportation of safe delivery of the goods sold to the buyer were availed for commercial purpose with a view to generate profit as primary intention. Therefore, in view of exception carved out in Section 2 (1) (d) of the Act, complainant no.1 is excluded from the definition of 'consumer'. Complainant no.2 being a subrogee steps into the shoes of complainant no.1 but his position cannot be better than complainant no.1. Complainant no.2, therefore, cannot be termed as consumer."

In M/s. Anil & Co. Vs. Shipping Corporation of India (supra) Hon'ble NCDRC held that complainant is a partnership firm dealing in spices, grains, packaged food etc. and also engaged in the export of such like items appellant complainant availed themselves of the services of the opposite party, the Shipping Corporation of India for commercial purpose only, by way of the export of material to a foreign country therefore, it was held that consumer complaint would not be maintainable as complainant does not fall under the definition of consumer. In Birla Technologies Ltd. Vs. Neutral Glass and Allied Industries Ltd. (supra) Hon'ble Supreme Court held that prior to Amendment Act, 2002, services availed of for any commercial purpose were not excluded from the purview of the Act. The complaint was filed in 2003, much after the amendment therefore, the complaint was not maintainable. Complainant given liberty to file suit for the relief claimed taking benefit of section 14 of the Limitation Act. In Action Construction Equipment Ltd. & anr. Vs. Bablu Mridha (supra) Hon'ble NCDRC held that respondent is having only two machines and same are being used by the respondent for earning his livelihood by no stretch it cannot be said that respondent is engaged in commercial activities which is not relevant in the present appeal.

In Bannari Amman Transport Vs. Mirinal Spinning Mills & ors. (supra) Hon'ble Tamilnadu State Commission held that complainant is a yarn manufacturing company who transported the goods effected (yarn) is for commercial purpose therefore, complainant cannot be construed as consumer.

From the perusal of aforesaid judgments it reveals that none of the judgment is regarding insurance services. Here the dispute is regarding insurance service. In Harsolia Motor Vs. National Insurance

Co. Ltd. (supra) Hon'ble NCDRC held that-

" If the goods are purchased for resale or for commercial purpose then such consumer would be excluded from the coverage of Consumer Protection Act, 1986. Such illustration could be that a manufacturer who is producing one product A' , for such production he may be required to purchase articles, which may be raw-material, then purchase of such articles would be for commercial purpose. As against this, the same manufacturer if he purchases a refrigerator, a television or an air- conditioner for his use at his residence or even in his office, it cannot be held to be for commercial purpose and for this purpose he is entitled to approach the consumer forum under the Act.

Similarly, a hospital which hires the services of a medical practitioner, it would be a commercial purpose. But, if a person avails of such services for his ailment it would be held to be not a commercial purpose. Further, from the aforesaid discussion, it is apparent that even taking wide meaning of the words for any commercial purpose it would mean that goods purchased or services hired should be used in any activity directly intended to generate profit. Profit is the main aim of commercial purpose. But, in a case where goods purchased or services hired in an activity which is not directly intended to generate profit, it would not be commercial purpose.

In this view of the matter, a person who takes insurance policy to cover the envisaged risk does not take the policy for commercial purpose. Policy is only for indemnification and actual loss. It is not intended to generate profit."

In M/s. Global Minetec Vs. ICICI Lombard General Insurance Co. (supra) Hon'ble NCDRC again while relying on Harsolia Motor Vs. National Insurance Co. Ltd. held that-

" Regarding maintainability of the Complaint, it has been held by this Commission in Harsolia Motors v. National Insurance Co. Ltd. I, (2005) CPJ 27 (NC) decided on 03.12.2004 that since an Insurance Policy is taken for reimbursement or for indemnity of the loss which may be suffered on account of insured perils, the services of the insurer cannot be said to have been hired or availed for a commercial purpose. This Commission does possess the requisite jurisdiction to entertain a Consumer Complaint wherever a defect or deficiency in the services rendered by an insurer is made out. In view of the above, the Complaint is held maintainable."

In M/s. Maruti Suzuki India Ltd. Vs. National Insurance Co. Ltd.(supra) Hon'ble NCDRC again held that-

" I have considered the arguments of the counsel for the parties and examined the record. In present case, the claim of the Insured has not been repudiated rather it has been accepted as such the various grounds, raised in written reply/arguments for repudiation of the claim, have to be ignored. It is well settled that the authority

cannot be permitted to raise a different ground, which was not a ground for passing the impugned order. Supreme Court in Galada Power and Telecommunication Ltd. Vs. United Insurance Company Ltd., (2016) 14 SCC 161, has held that the Insurer cannot be permitted to raise the grounds other than a ground taken for repudiation of the claim, in the complaint. As such I am not required to go in the new grounds/allegations, which have been raised by the Insurer, for repudiation of the claim. So far as the preliminary objection that the Insured is not a consumer, as the insured property was imported for commercial purpose, is concerned, in the present case, the Insured has purchased insurance service. The term "service" is defined under Section 2 (o) of the Consumer Protection Act, 1986, in which insurance service falls within inclusive clause as such the complaint is maintainable on the allegation that there was deficiency in service while settlement of the claim. Supreme Court in Lilavati Kirtilal Mehta Medical Trust Vs. Unique Shanti Developer (2020) 2 SCC 265 has held that a person engaged in commercial activity can avail service for his personal use. In the present case insurance policy was obtained for personal use and not for trade or commerce or for deriving any profit from it."

In Manjeet Electronics Pvt.Ltd. Vs. New India Assurance Co. Ltd. (supra) Hon'ble NCDRC again held that-

"On the question of whether Complainant is a Consumer or not as defined under the Act, we would like to quote the Judgment of Hon'ble Supreme Court Canara Bank Vs. M/s United India Insurance Co.Ltd. & Ors., Civil Appeal No.1042 of 2020 decided on 6.2.2020 , in which the issue of who is a "Consumer" has been discussed at length. It has been noted that definition of 'Consumer' under Section 2 (1) (d) (ii) of the Act is very wide and includes person who hires or avails any services for a consideration. Therefore, we are of the considered view that this objection of the Opposite Party does not hold ground and needs to be ignored."

In Modi Dyeing & Bleaching Works Vs. National Insurance Co. Ltd. (supra) Hon'ble NCDRC again held that -

" We have considered the arguments of the counsel for the parties and examined the record.

Supreme Court in Paramount Digital Colour Lab Vs. Agfa India Pvt. Ltd. (2018) 14 SCC 81 and Lilavati Kirtilal Mehta Medical trust Vs. Unique Shanti Developer, (2020) 2 SCC 265, has held that a person engaged in commercial activities can buy goods or avail services for his personal use and is within the scope of Consumer Protection Act, 1986. The insurance service falls within inclusion clause of the "service" as defined under Section 2 (1) (o) the Act, 1986. This Commission in M/s. Harsolia Motors Vs. National Insurance Co. Ltd. I (2005) CPJ 27 (NC), has held that insurance service falls within the purview of Consumer Protection Act, 1986. As such the present complaint is maintainable."

In Trade Wings Logistics (India) Pvt.Ltd. Vs. MSS Asan Exports & 3 ors. (supra) Hon'ble NCDRC held that-

"Second objection that the transaction was commercial in nature, therefore the complainant has no locus standi as a Consumer under Sectin-2 of the Act, 1986. Admittedly, the Opposite Parties failed to deliver the consignment at USA, thus the complaint was filed for the negligence and deficiency in service on the part of the opposite parties and not for loss of goods/products. Thus in our view, the Complainant was consumer as under the Act, 1986."

In M/s. Shri Mookambiga Spinning Mills Vs. New India Assurance Co.Ltd. (supra) Hon'ble NCDRC held that-

Without going into the merits of the case, we are of the considered view that the State Commission has erred in not taking into consideration the judgement of this Commission in Harsolia Motors Versus National Insurance Co. Ltd. I (2005) CPJ 27 (NC) wherein it was held that a person who takes Insurance Policy to cover an envisaged risk cannot be construed to be for commercial purpose. Policy is only for indemnification of the actual loss. It is not intended to generate profit and is not directly involved in the profit-making process of a Business. For better understanding of the ratio, the relevant paragraphs are reproduced as hereunder:-

"At the outset, it is to be stated that an insured who takes the insurance policy cannot trade or carry on any commercial activity with regard to the insurance policy taken by him. Under Sec. 3 of the Insurance Act, 1938, no person is permitted to carry on business of insurance unless he obtains a certificate of registration from the Insurance Recovery and Development Authority.

Further, hiring of services of the Insurance Company by taking insurance policy by Complainants who are carrying on commercial activities cannot be held to be a commercial purpose. The policy is taken for reimbursement or for indemnity for the loss which may be suffered due to various perils. There is no question of trading or carrying on commerce in insurance policies by the insured. May be that insurance coverage is taken for commercial activity carried out by the insured.

In Halaburys Laws of England, Vol. 25, 4th Edition, the origin and common principles of insurance is discussed and in paragraph 3 it has been mentioned that it is based on principle of indemnity. Thereafter, relevant discussion is to be effect that most of contract of insurance belong to general category of contracts of indemnity. In the sense that insurers liability is limited to the actual loss which is, in fact, proved. The contract is one of indemnity and, therefore, insured can recover the actual amount of loss and no more.

In this view of the matter, taking of the insurance policy is for protection of the interest of the assured in the articles or goods and not for making any profit or

trading for carrying on commercial purpose.

.....

Further, from the afore-said discussion, it is apparent that even taking wide meaning of the words for any commercial purpose it would mean that goods purchased or services hired should be used in any activity directly intended to generate profit. Profit is the main aim of commercial purpose. But, in a case where goods purchased or services hired in an activity which is not directly intended to generate profit, it would not be commercial purpose."

In *Lilavati Kirtilal Mehta Medical Trust Vs. M/s. Unique Shanti Developers & ors.* (supra) the issue before the Hon'ble Supreme Court was that whether the purchase of flats for the purpose of providing accommodation to nurses employed by the appellant trusts hospital qualifies as a purchase of services for a commercial purpose; and consequently whether the appellant is excluded from the definition of consumer u/s 2 (1)(d) of the 1986 Act? Which was answered by Hon'ble Supreme Court in following words:

" Hence the provision of hostel facilities to nurses so as to facilitate better medical care is a positive duty enjoined upon the hospital so as to maintain the beneficial effects of the curative care efforts undertaken by it. Such a duty exists irrespective of the surplus or turnover generated by the hospital, and hence is not even remotely related to the object of earning profits or for any commercial use as envisaged under Section 2(1)(d)."

Therefore, Hon'ble Supreme Court found that the appellant trust is a consumer u/s 2 (1)(d) of the 1986 Act for the present transaction under consideration. From the perusal of aforesaid judgments cited by respondent complainant which are mostly regarding the insurance services wherein Hon'ble NCDRC and Hon'ble Supreme Court has clearly held that if the services were taken for insurance purposes irrespective of the surplus or turnover generated by the respondent complainant and is not even remotely related to the object of earning profits or for any commercial use as envisaged under section 2 (1) (d) of the 1986 Act it cannot be said that insurance policy was taken for commercial purpose and being private limited company respondent complainant is not consumer therefore, the ground raised by the learned counsel for the appellant is not sustainable and appeal deserves to be dismissed.

Accordingly, the appeal is dismissed and the impugned judgment of the learned DCC is affirmed.

(Shailendra Bhatt) (Shobha Singh) (Banwari Lal Sharma) Member Member President nm